

Erase Answer

Question 1 of 50

_____ allows you to take charge of your spending habits.

(1.0 Marks)

A

Borrowing

B

Investments

C

Insurance

D

Budgeting

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*If you have completed your exam, click on submit button located on right side above question palette.

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Question Palette

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Question 2 of 50

_____ means spreading one's investments across various avenues in order to reduce risk.

(1.0 Marks)

A

Credit Rating

B

Mutual Fund

C

Entry Load

D

Diversification

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Question 3 of 50

What does the principle of "Time value of money" mean?

(1.0 Marks)

A

No Investment Carries Any Risk

B

Stock Market Investment Are Risk-Free

C

A Certain Amount Of Money Today Is Worth Less Than The Same Amount Of Money In Future

D

A Certain Amount Of Money Today Is Worth More Than The Same Amount Of Money In Future

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Question 4 of 50

In order to increase purchasing power, one must earn returns on investment that are _____.

(1.0 Marks)

A

More Than Inflation After Taxes

B

Less Than Inflation After Taxes

C

Equal To Inflation After Taxes

D

Equal To Inflation Before Taxes

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Question 5 of 50

What is the main objective of buying an insurance policy?

(1.0 Marks)

A

Tax Saving

B

Return On Investment

C

To Cover The Risk Of Unforeseen Events

D

Saving

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Question 6 of 50

An investor having an aggressive risk profile is likely to be comfortable with major holding in _____.

(1.0 Marks)

A Public Provident Fund

B Bank Fixed Deposit

C Equity Mutual Funds

D Senior Citizen Saving Scheme

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Question 7 of 50

You can ignore risk in an investment in which of the following situations?

(1.0 Marks)

A

When The Returns Are Very High

B

When The Product Is Suggested By Your Friend

C

When A Well Reputed Company Is Launching The Product

D

None Of The Above

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Question 8 of 50

How do you assess the risk of default while investing in a debenture of a company?

(1.0 Marks)

A

By Checking The Interest Rate Offered

B

By Checking The Tax Structure

C

By Checking The Credit Rating Of The Debentures

D

By Checking The Name Of The Collecting Banks

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Question 9 of 50

Liquidity means _____.

(1.0 Marks)

A

The Ease With Which An Asset Can Be Bought Or Sold

B

The Upside Generated By An Investment

C

The Potential Downside In An Investment

D

The Taxes Payable In Cash

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Question 10 of 50

Pension schemes are meant for: _____.

(1.0 Marks)

A

Short Term Savings

B

Accumulating Savings To Meet Post Retirement Expenses

C

Accumulating Wealth For A Long Time Period Of Say 10 Years

D

Becoming Eligible To Take Loans During Post-Retirement Years

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Question 11 of 50

Not indulging in adventure sport can be an example of _____.

(1.0 Marks)

A Risk Reduction

B Risk Transfer

C Risk Avoidance

D Risk Retention

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Question 12 of 50

Under the concept of compound interest, you earn _____.

(1.0 Marks)

A

Interest Only On Your Principal Invested

B

Interest Only On The Interest And Not On The Principal

C

Interest On Both The Principal As Well As Interest Earned

D

Interest That Exactly Matches The Inflation In The Economy During That Period

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Question 13 of 50

What is the primary effect of a Bonus Issue on the number of outstanding equity shares?

(1.0 Marks)

A

It Increases Outstanding Equity Capital

B

The Outstanding Equity Capital Remains Same.

C

It Decreases Outstanding Equity Capital

D

None Of The Above

Question 14 of 50

What best describes a bull market?

(1.0 Marks)

A

A Phase When Stock Prices Are Falling

B

A Phase When Investors Are Pessimistic

C

A Phase When Stock Prices Are Rising And
Investors Are Optimistic

D

A Phase When The Economy Is Weak

Question 15 of 50

How does dabba trading differ from trades on official stock exchanges? **(1.0 Marks)**

A

Dabba Trading Is Regulated

B

Trades Are Executed On Official Exchange Platforms

C

Trades Are Not Actually Executed On Recognized Stock Exchanges

D

Investors Have Access To Grievances Redressal Mechanisms

Question 16 of 50

What is the role of a Depository Participant in the securities market?

(1.0 Marks)

A

Selling Securities Directly To Investors

B

Providing Trading Advice To Investors

C

Safeguarding And Maintaining Securities In Electronic Form

D

Auditing Stock Exchanges

Question 17 of 50

What role does due diligence play in the investing world?

(1.0 Marks)

A It Guarantees Profit For Investors

B It Helps Investors Understand All Material Facts

C It Limits Decision-Making Processes

D It Discourages Investors From Making Informed Choices

Question 18 of 50

What should an investor do if s/he have a dispute with their Stock Broker?

(1.0 Marks)

A

Contact The Stock Exchange Directly

B

Write A Complaint To The Trading Member And Keep Records Of All Related Communications

C

Ignore The Issue And Hope It Goes Away

D

File A Complaint With The Government

Question 19 of 50

What type of investment vehicles must compare their performance with benchmark indices? **(1.0 Marks)**

A

High-Risk Stocks

B

Real Estate Investments

C

Mutual Funds

D

Government Bonds

Question 20 of 50

Hybrid Funds typically invest in:

(1.0 Marks)

A Only Equity Securities

B Only Debt Instruments

C A Combination Of Equity And Debt Securities

D Foreign Currency

Question 21 of 50

How are REITs (Real Estate Investment Trusts) similar to Mutual Funds? **(1.0 Marks)**

A

Both Are Managed By Individual Investors

B

Both Involve Investing In Stocks Only

C

Both Allow Pooling Of Money From Multiple Investors

D

Both Are Government-Managed Investment Options

Question 22 of 50

Which of the following is NOT a required document for the transmission of securities?

(1.0 Marks)

A

Notarized Death Certificate

B

Notarized Succession Certificate

C

Passport Of The Legal Heirs

D

Probate Or Letter Of Administration

Question 23 of 50

In what scenario Consolidated Account Statement (CAS) is NOT issued to investors?

(1.0 Marks)

A

When There Are No Financial Transactions Made

B

When The Investor Has Multiple Demat Accounts

C

When The Investor Prefers Physical Statements

D

When The Investments Are In Foreign Currency

Question 24 of 50

Electronic contract notes can be issued by the broker only with the prior authorisation of the _____.

(1.0 Marks)

A

Client

B

Depository Participant

C

Banker

D

Stock Exchanges

Question 25 of 50

What is hedging in the context of investing?

(1.0 Marks)

A

Investing Without Any Strategy

B

Managing Risks By Offsetting Potential Losses

C

Speculating On Future Prices

D

Ignoring Market Fluctuations

Question 26 of 50

According to the do's for investors, what should be known about fees and charges?

(1.0 Marks)

A

Nothing, They Are Irrelevant

B

Know About Various Fees, Charges, Margins, Premium, Etc.

C

Overlook Fees And Charges

D

Assume All Costs Are Minimal

Question 27 of 50

Which of the following will reduce the return from your investments? **(1.0 Marks)**

A

Interest And Dividend

B

Taxes And Inflation

C

Capital Gains And Dividend

D

Interest And Capital Gains

Question 28 of 50

How are ETFs different from regular mutual funds in terms of trading? **(1.0 Marks)**

A

Mutual Funds Trade Like Common Stocks

B

ETFs Trade Like Common Stocks

C

Mutual Funds Trade Only During Weekends

D

ETFs Do Not Trade On The Stock Exchange

Question 29 of 50

Which of the following is a sign of a possible scam?

(1.0 Marks)

A

Investment Option With No Regulator

B

Huge Amount Of Money Collected In A Short Time Horizon

C

Pushing Sales With Limited Time Offer Proposition

D

All Of The Above

Question 30 of 50

In which situation can an investor use the facility ASBA (Application Supported by Blocked Amount)?

(1.0 Marks)

A

For Investment In Initial Public Offering Of Shares In Primary Market

B

For Investment In Stocks Through Stock Exchanges

C

For Investment In Debentures Through Secondary Markets

D

For Investment In Real Estate

Question 31 of 50

Which of the following is a valid method of receiving the KYC Identification Number (KIN)?

(1.0 Marks)

A

Email

B

Letter

C

SMS

D

All Of The These

Question 32 of 50

The process of launch of a new mutual fund scheme is known as _____.

(1.0 Marks)

A

Initial Public Offer (IPO)

B

New Fund Offer (NFO)

C

Offer For Sale (OFS)

D

First Fund Offer (FFO)

Question 33 of 50

If you have some money to invest for a month, which among the following would be a suitable mutual fund scheme? **(1.0 Marks)**

A

A Diversified Equity Scheme

B

An Equity Linked Savings Scheme (ELSS)

C

A Sectoral Fund

D

A Liquid Fund Scheme

Question 34 of 50

What is/are the function/s of Securities and Exchange Board of India (SEBI)?

(1.0 Marks)

A Regulate The Business In Stock Exchanges

B Prevent Unfair Trade Practices

C To Protect The Interests Of Investors

D All Of The Above

Question 35 of 50

Current value of your mutual fund investments = _____.

(1.0 Marks)

A

Your Unit Balance Plus The Fund's NAV

B

Your Unit Balance Minus The Fund's NAV

C

Your Unit Balance Divided By The Fund's NAV

D

Your Unit Balance Multiplied By The Fund's NAV

Question 36 of 50

How does settlement of running account of funds arrangement benefit frequent traders?

(1.0 Marks)

A

By Increasing Settlement Times

B

By Reducing Transaction Fees

C

By Delaying All Transactions

D

By Facilitating Quick Transaction Settlements

Question 37 of 50

An investor should avoid investing in which of the following?

(1.0 Marks)

A

Mutual Funds

B

Ponzi Schemes

C

Stocks

D

Government Securities

Question 38 of 50

Which of the following is not a function of SEBI?

(1.0 Marks)

A

Regulatory

B

Protective

C

Developmental

D

Ensuring Up Movement Of Stock Prices

Question 39 of 50

Financial institutions will never ask for which of the below data from your end?

(1.0 Marks)

A

PIN And Passwords

B

Address Confirmation

C

City Of Residence

D

Place Of Birth

Question 40 of 50

What concept in investing does Systematic Investment Plan (SIP) help with?

(1.0 Marks)

A

Timing The Market Perfectly

B

Rupee Cost Decreasing

C

Market Volatility Prediction

D

Rupee Cost Averaging

Question 41 of 50

What type of assets do InvITs own and operate?

(1.0 Marks)

A Real Estate

B Technology Companies

C Operational Infrastructure Assets Like Highways, Roads

D Agricultural Farms

Question 42 of 50

The portfolio composition of active mutual funds:

(1.0 Marks)

A

Remains Constant Over Time

B

Changes Only When The Market Index Changes

C

Is Actively Managed Based On Market Analysis Of Fund Manager

D

Is Determined By A Computer Algorithm

Question 43 of 50

The expense ratio of passive mutual funds compared to active funds is typically:

(1.0 Marks)

A

Higher

B

Lower

C

The Same

D

Varies Greatly Depending On The Fund Manager

Question 44 of 50

The riskometer for Mutual fund schemes is a standardized risk measurement scale introduced by:

(1.0 Marks)

A

Reserve Bank Of India (RBI)

B

Securities And Exchange Board Of India (SEBI)

C

National Stock Exchange (NSE)

D

Association Of Mutual Funds In India (AMFI)

Question 45 of 50

Tarun is considering investing all his savings in the stock market. He wonders if this is the only way to become rich.

(1.0 Marks)

A

Yes, Investing In The Stock Market Is The Only Way To Become Rich.

B

No, There Are Other Ways Besides Investing In The Stock Market Directly.

Question 46 of 50

Ashok has received 10,000 shares in inheritance from his father, who owned shares in a very well-performing large-cap company. However, Ashok is facing difficulties in getting his shares transferred to his name despite multiple attempts with the Company's Registrar and Transfer agent. Does Ashok have any recourse in this situation?

(1.0 Marks)

A

Yes, He Can File A Complaint With The Securities And Exchange Board Of India (SEBI).

B

Yes, He Can Directly Contact The Company's Management For Assistance.

C

Yes, He Can Hire A Lawyer And Take Legal Action Against The Registrar And Transfer Agent.

D

No, He Has Exhausted All His Options.

Question 47 of 50

Mr. Chaterjee, aged 62, has been an active investor in the Stock Market for many years. He has a good portfolio with significant value. Considering his age, his stockbroker advised him to complete the nomination formalities with respect to his trading and demat account. Was it correct advice? **(1.0 Marks)**

A

No, Because Mr. Chaterjee Is Still Relatively Young And Healthy.

B

Yes, Because Completing Nomination Formalities Will Ensure Smooth Transfer Of Assets In Case Of His Demise.

C

No, Because Nomination Formalities Are Only Necessary For Very Large Portfolios.

Attitude and behaviour Questions

Question 48 of 50

If market is rapidly falling should I not sell my investments even if it was made with a long-term perspective. Is that beneficial? **(1.0 Marks)**

A

Yes, It's Always Best To Sell During A Market Downturn To Avoid Further Losses.

B

No, Panic Selling Often Leads To Selling At Low Prices, Which Can Lock In Losses.

C

Yes, Because Holding Onto Investments During A Market Downturn Only Leads To Further Losses.

Question 49 of 50

Alvin is 24 years old fresher who has started working in a private company. He is quite responsible and is looking to start investing in the stock market and other investment avenues. He approaches his peer, Alfred for advice on which investments would be best suited for him. Is his approach correct? **(1.0 Marks)**

A Yes, Seeking Advice From Peers Is A Good Way To Start Investing.

B No, He Should Consult A Professional Financial Advisor Instead.

C Yes, As Long As Alfred Has Experience In Investing Relying On Stock Tips And Not Lost Money.

Question 50 of 50

Nishant an active aggressive investor of stock market has just retired. He gets adrenal rush by taking aggressive investment / trading calls. He wants to continue being invested in small cap stocks to the extend of 70% of his portfolio. Is this a wise approach?

(1.0 Marks)

A

Yes, Since He Is A Veteran

B

No, Post Retirement One Should Take Exposure In Less Risky Asset Class/ Instruments

C

Yes, Small Caps Are High Risk, High Returns